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1. Which of the following statements about business functions is **least accurate**?
- A. Marketing is the principal function that plays an active role in coordinating the other functions of business.
  - B. Management Information Systems help gather, structure, and make available data and other key information that enable other functions of the business to make informed decisions.
  - C. Business Analytics can be used to make decisions about People Management issues, including hiring, promotion, and retention.
  - D. Strategy is explicitly concerned with understanding rivals and long-term firm performance.
  - E. One of the key insights in Finance is that investors will expect higher returns when making riskier investments.
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2. Which of the following statements about markets and institutions is most true?
- A. Extractive economic institutions interrupt, interfere with, and/or inhibit the optimal functioning of markets, leading to sub-optimal environments for business efficiency and innovation.
  - B. An example of an extractive economic institution would arise if a government attempted to break up a company that had been fairly convicted of antitrust violations.
  - C. Inclusive economic institutions are typically managed by private firms, as these are more efficient than government agencies.
  - D. Inclusive economic institutions are typically created by governments in order to satisfy the social justice perspective on business ethics.
  - E. Countries with inclusive economic institutions typically achieve lower levels of prosperity than other countries, though they have been slowly catching up over time.
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3. In the Discussion for Week #10, we read about Robert Gordon's concerns regarding the future of innovation and economic growth. Which of the following statements about the Gordon's perspective is **least accurate**?
- A. Gordon's view is that the most important of all innovations was the one-time, and, ultimately, permanent, triumph of inclusive economic institutions over extractive economic institutions.
  - B. Unlike Robert Gordon, a set of economists known as techno-optimists believe that digital technologies may kick off a period of self-reinforcing innovation cycles that could rival those of electricity and could accelerate in impact over time.
  - C. Gordon fears that a series of factors, which he calls, "headwinds," including rising inequality, educational stagnation, and rising energy costs, may constrain future economic growth in the United States.
  - D. If the United States were to move from having mainly inclusive economic institutions to having an increasing number of extractive economic institutions, this would reinforce Gordon's fears about the future of economic growth in America.
  - E. Although the smartphone represents an extraordinary technical achievement, Gordon considers indoor plumbing to be an innovation of greater economic importance than the smartphone.
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4. In Week #11, we read about Andy King and Ken Pucker's concerns regarding "Win-Win" strategies. Which of the following statements about their views is **most accurate**?

- A. One of the authors' key concerns is that the appeal of win-win strategies distracts attention from the systemic, often-government driven, changes required for actual progress.
  - B. One of the authors' key concerns regarding win-win strategies is they disagree that firms should be required to violate Milton Friedman's perspective of shareholder value.
  - C. One of the authors' primary concerns regarding win-win strategies is that they find Edward Freeman's perspective regarding which stakeholders to support to be ambiguous.
  - D. An example of a win-win approach the authors would support is one in which businesses engage in self-regulation based on non-binding recommendations from the government.
  - E. The authors believe that win-win strategies are appealing in general because a number of them succeeded in the long-run even though they created tradeoffs in the short-run, thus increasing the appeal of long-term win-win strategies.
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5. Suppose that the following facts about the Boston area Executive MBA market were all accurate and please answer the question that follows: (1) many business schools make profits selling education to local executives (high-level managers); (2) many business schools in Boston offer Executive MBA programs that compete against each other aggressively on price and quality; (3) all Executive MBA programs are paid for by managers' employers; (4) 'teaching supplies' are the only inputs into teaching Executive MBA programs. Based on those four facts, which of the following statements is **least true**?

- A. The Industry Value Chain for Executive MBA programs could be usefully represented like this: (teaching supplies) --> (Business Schools) --> Managers.
  - B. We would expect the market for Executive MBA Programs to deliver a number of good things, including competition, innovation, and relatively low prices.
  - C. We would not be especially worried about market power in the Boston Executive MBA market.
  - D. Public goods problems negatively affect the efficiency of the Boston Executive MBA Market.
  - E. Buyers in the Executive MBA Market are likely to capture value as a consequence of the aggressive competition among Business Schools.
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6. Which of the following statements about business and business environments is **most true**?

- A. According to Amartya Sen, it is possible for individuals in a country to be relatively wealthy but still lack wellbeing.
  - B. According to Jeffrey Frieden, businesses often operate in "first best" conditions because the interaction of interest groups and politics enables governments to make policies that drive the best possible economic outcomes.
  - C. Autocratic regimes are typically associated with effective business operations because they are able to leverage the tools of national power to create inclusive economic institutions.
  - D. One of the advantages of the feudalist economic system is that it encouraged large-scale entrepreneurship, particularly in agriculture.
  - E. One of the advantages of the mercantilist economic system is that it encouraged the diffusion of innovation by guaranteeing intellectual property rights across countries.
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7. Which of the following statements about the principal-agent problem is **least true**?
- A. Because the principal generally hires the agent in a principal-agent relationship, the agent does not have any power.
  - B. Sole proprietorships, i.e., firms owned and managed by the same individual, will not face principal-agent problems in their corporate governance.
  - C. A principal-agent problem could arise in the context of getting a getting your car fixed at an auto repair shop, even if the mechanic owns the shop.
  - D. Some of the key issues in the principal-agent problem arise because the agent is both more well-informed about what needs to be done than the principal and is difficult to monitor.
  - E. Providing thoughtful incentives can help mitigate the principal-agent problem, though incentives alone cannot provide a complete solution.
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8. In the Discussion for Week #10, we read about, "Creative Destruction." Which of the following statements about Creative Destruction is **least accurate** in describing the ideas of that reading:
- A. One example of Creative Destruction in action was Apple's introduction of the most recent iPhone
  - B. One of the implications of Creative Destruction is that market power is sometimes a temporary rather than a permanent condition of an industry.
  - C. In introducing the idea of Creative Destruction Joseph Alois Schumpeter built upon Karl Marx's view that innovation is a defining feature of the Capitalist economic system.
  - D. One of the ideas of the article is that a society cannot reap the rewards of Creative Destruction without accepting that some individuals and firms might be made worse off as a result of Creative Destruction.
  - E. The fact that in 1900 nearly 40% of employed Americans worked on farms, while today only 2% of employed Americans work on farms provides an example of the transformative power of Creative Destruction.
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9. Which of the following statements about Milton Friedman's view of stakeholders and corporate social responsibility is **least correct**?
- A. Because of his single-minded focus on shareholders, Friedman's perspective implies that firms should never consider other stakeholders' concerns.
  - B. Corporate executives should not use firm funds for charitable activities unless the shareholders explicitly say that they would like funds used for that purpose, as doing so violates manager's fiduciary duty.
  - C. When corporate executives use company resources for social causes, they are essentially acting like government officials imposing taxes and deciding how to spend the proceeds.
  - D. Friedman's worry that managers might divert company resources to charitable activities that do not benefit the shareholders is a concern that is consistent with the principal-agent problem.
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10. You can earn a free point on the exam if you answer the following question. Which of the following cases that we read and discussed this semester was your favorite? [Note: The only ways you would NOT earn the point would be if you either do not answer the question or if you select the one case on the list that we never discussed this semester.]
- A. Super Soaker
  - B. Etsy
  - C. Carter Racing
  - D. Another case that you have not listed!
  - E. Chandra-Park Aquariums
  - F. IBM/Constance Hotels
  - G. Takeda/Accenture
  - H. Google's Project Oxygen
  - I. Coffee Shop Simulation (note: for the purposes of the exam, let's consider this to be a case)
  - J. TikTok
  - K. Warby Parker
  - L. The Week 9 cases: Bell Labs, Google, Used Cars, Prohibition, Cannabis, and Solar Power
  - M. Enron
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11. According to our readings this semester, which of the following statements is **least true** about Strategy?
- A. Michael Porter and Mark Kramer consider the effort to Create Shared Value to purely an issue associated with Corporate Social Responsibility and stakeholder maintenance but not an issue with issues for firm strategy or competitiveness.
  - B. One of the implications of Porter's Five Forces framework is that firms will sometimes need to pay attention to aspects of the Industry Value Chain, including suppliers and buyers.
  - C. One of the central ideas of the Competitive Positioning framework is that firms should avoid becoming stuck in the middle, i.e., having failed to make tradeoffs with regards to prices and the scope of the market they would like to serve.
  - D. Whereas Competitive Positioning mainly considers issues internal to the firm and the Five Forces framework considers issues external to the firm (i.e., in its industry environment), SWOT analysis considers issues that are both internal to and external to the firm.
  - E. Strategy is one of the fields of business that helps coordinate the activities of the other fields of business.
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12. This question tests your understanding of Arbitrage and the Efficient Market Hypothesis. Which of the following statements about those issues is **least true**?
- A. Arbitrage is illegal in most countries because it involves insider information.
  - B. There are multiple forms of the Efficient Market Hypothesis, each of which varies in its implied strength.
  - C. Arbitrage opportunities often arise when markets are geographically separate from each other.
  - D. One of the implications of the Efficient Market Hypothesis is that it is difficult to beat the market (i.e., to earn spectacularly high profits) when trading assets using publicly available information.
  - E. Arbitrage can occur by trading assets in different time zones or different locations, even if those markets are not efficient.
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13. Which of the following scenarios provides the best example of a situation in which Adverse Selection might arise?
- A. Candidates who are more likely to apply for jobs are actually those who have higher risk of turnover, i.e., of seeking new jobs soon after they join a firm.
  - B. Auto companies have begun to put previously-owned cars under rigorous inspection checks in order to ensure that all of their 'used cars' are of excellent quality.
  - C. If an insurance company were able to offer insurance policies that it could revoke if it determined that policy-holders engaged in risky behavior (i.e., if its customers did anything risky, it could cancel the policy or avoid paying customer claims).
  - D. Individuals may begin to take risks if they are covered by a government insurance policy that covers all drivers who pass a test of driving aptitude and who have a demonstrated history of driving safety.
  - E. Credit card rewards programs tend to attract financially responsible individuals who pay their bills on time, reducing default risks for issuers.
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14. In Week #11, we read about Andy King and Ken Pucker's concerns regarding "Win-Win" strategies. Which of the following statements about their views is **least accurate**?
- A. The authors are in favor of linking profit and purpose, but they are skeptical of win-win strategies because they believe that firms existing incentives are sufficient incentives to address fundamental challenges like climate change and global poverty.
  - B. One of the authors' key concerns regarding win-win strategies is the authors fear that such strategies delay or hinder the adoption of more effective systemic solutions.
  - C. According to the authors, win-win strategies build rely on attractive promises and small-scale examples but are not based on large-scale empirical analyses.
  - D. The authors argue that win-win strategies distract attention from the difficult trade-offs and systemic changes required for real progress.
  - E. An example of a win-win approach that about which the authors would be skeptical is the proposal that that firms in the chemical industry should engage in self-regulation (i.e., regulation without government oversight) because doing so will lead to greater profits and better environmental performance.
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15.

Please read the minicase below and answer questions (a), (b), and (c) that follow. You may need to scroll down to read all of the questions. [20 points in total]

(a) Suppose that after you had spent a decade working as a manager at the Asta Restaurant Company (ARC), which owned a single restaurant (named, 'Asta'), the restaurant's owners retired and gave you the company as a gift at the end of 2023. Suppose that the firm was worth \$10m at the time. Suppose, as well, that the firm's net income rose from \$1m in 2023 to \$3m in 2024. Assuming that nothing else changed about the firm's finances, please explain how these transactions would affect ARC's Balance Sheet in 2023 and please explain what the bottom line on the Income Statement would be in 2024? [4 points]

(b) Suppose that the following three facts are true: (1) two of your next strategic moves in 2024 involved hiring away a star chef from a rival restaurant firm, who then passed along to you some information about R&D that had helped their prior restaurant succeed; (2) scientists discovered that the noise from the restaurant was causing hearing loss among local residents; (3) consultants realized that competition among restaurant suppliers helped innovation in delivering restaurant supplies. Do any of these three suppositions suggest that there are market failures that affect restaurants? If so, please identify them and explain how they drive market inefficiencies. [6 points]

(c) As the prior sub-question suggested, one of the key aspects of the restaurant business involves hiring the right chefs. Salaries are a key determinant of the chef labor market, as is the personality fit between the chef and the restaurant. Based on your understanding from the case and from the prior questions, would you consider the market for chefs to be a matching market, a platform market, both, or neither? Please explain your answer, taking care to address both types of markets. [6 points]

(d) Suppose that after a few successful years managing ARC, you were approached by rival restaurant firm that was experiencing some financial difficulties and that asked if you wanted to become an Equity Investor or a Debt Investor in the firm. Suppose that you considered the idea and decided you wanted to make a risky bet that had a potentially high upside. Should you accept the offer to be an Equity Investor, a Debt Investor, or to put your money in the bank instead? Please explain your answer in 1 sentence or less. [4 points]

*(Please write your essay response on a separate piece of paper)*

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16.

The mini-case below introduces a fictional firm, FotoPeeps, and asks a number of questions regarding Stakeholder Analysis based on the mini-case. Please assume that all information in the mini-case is correct. You may need to scroll down to read parts (a), (b), (c), and (d) of the question. [20 points in total]

FotoPeeps (FP) was founded in 2005 as an e-commerce platform that enabled people planning important events to hire independent photographers. In its early days, the firm managed a community in which the concerns of its photographers, its employees, and its customers were more important than firm profits. After a decade of controlled growth, FotoPeeps went public, making its stock available on the New York Stock Exchange. The business struggled in the years thereafter, however, and in 2017, the shareholders replaced long-time CEO Tommie Bradie with Jay Len Brown. Brown undertook a number of changes, many of which were initially unpopular and which resulted in a loss of jobs and satisfaction among many longtime FotoPeeps employees. Even though average wages have increased, employee satisfaction has never rebounded to the level it had been before the firm went public. Since 2017, however, Brown's changes have increased the number, satisfaction, and average profitability of the firm's sellers, increased the number of the firm's buyers, the desire of those individuals to pay for FotoPeeps services, and kept FotoPeeps prices unchanged. FotoPeep's platform innovations have even allowed it to lower its total average costs between 2017 and the present, though the firm still faces considerable competitive pressures, often deals with employee complaints, and has not changed its presence in the local communities in which it operates.

(a) Based on the information above, please explain whether (and why) you believe that FotoPeep's value creation and capture has changed since 2017. [6 points]

(b) Based on the information above, please explain whether (and why) you believe that value capture by FP's customers has changed since 2017 [3 points]

(c) Please explain whether the three perspectives on Stakeholders that we discussed in Week #11 would approve of FotoPeep's actions since 2017. [9 points]

(d) Based on your analyses in Section (a), please explain whether you would consider FotoPeeps to be a "Force for Good" and why/why not. [2 points]

*(Please write your essay response on a separate piece of paper)*

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17.

Please read the scenario below and answer the questions on Ethical Breakdowns and Business Ethics that follow. You may need to scroll down to read parts (a), (b), and (c) of the question. [20 points in total]

WenCo is a small vitamin manufacturing firm that provides employment in a community with economically vulnerable individuals who may not be able to provide for their families if the firm were to fail or move. The firm's CEO, founder, and owner, Dr. Wen, had always been committed to both furthering human health and to supporting local communities. As a result, Dr. Wen had pushed WenCo firm aggressively to provide financial rewards to employees who developed efficient manufacturing techniques and relied on consulting firms to identify new manufacturing technologies. Suppose that after ten years of operation, Dr. Wen, learned that some of the manufacturing practices that the top employees and consultants had recommended actually released a pollutant into the air that, because of local wind conditions, affected a nearby wealthy community but not the less wealthy community in which WenCo's employees lived. Suppose that no regulations prevented the firm from releasing the pollutant, that the pollution increased illnesses each winter but did not cause permanent damage or death, and that there was no way to eliminate the pollution without bankrupting the firm.

(a) Please use the frameworks introduced in the "Ethical Breakdowns" reading of Week #12 (by Max Bazerman and Ann Tenbrunsel) and the information provided in the mini-case to explain what would have led the firm to engage in the ethically-questionable pollution, even though Dr. Wen seems like a socially-conscious CEO. [6 points]

(b) Please analyze the ethical issue that Dr. Wen faces after learning of the pollution, applying each of the four major perspectives on ethics that we read about in the Week #12 note on "Business Ethics" (i.e., do not analyze the issue from the perspective of "Josephson's Core Values Analysis and Decision Process," which was the fifth perspective described in that reading). Please make any necessary assumptions but be sure to state them clearly if you make any. [12 points]

(c) Please use analyses to make a recommendation regarding what you think Dr. Wen should do about the pollution. [2 points]

*(Please write your essay response on a separate piece of paper)*